

WELFARE STATE • COMPARATIVE POLITICS

The *Legalization* Trap.

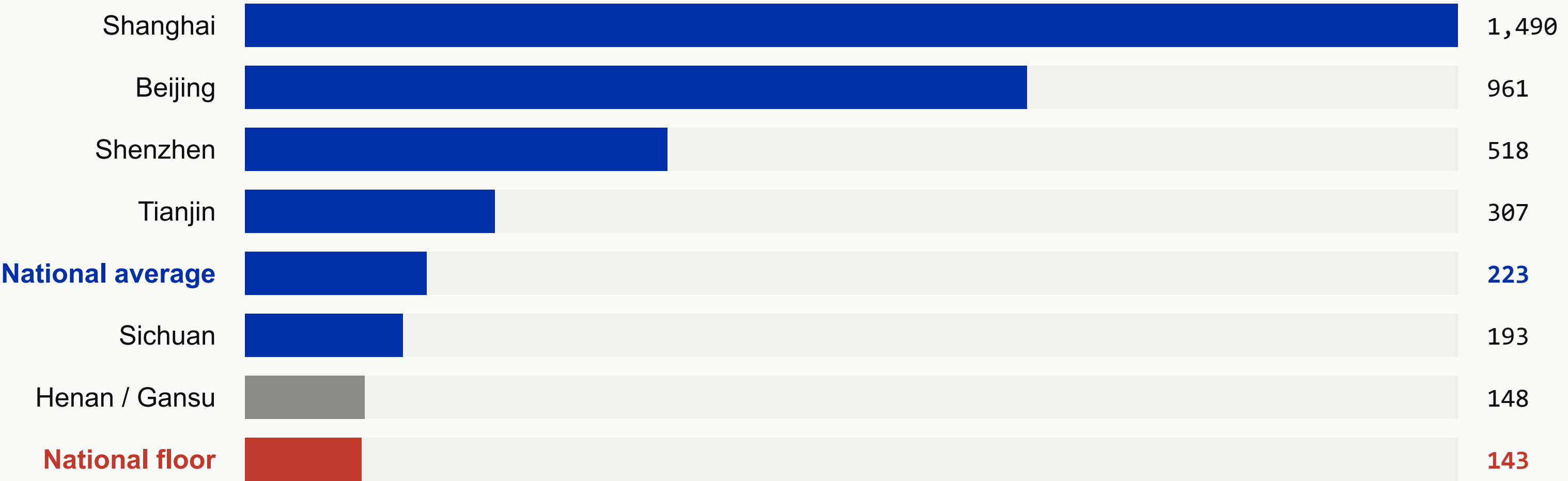
How paper welfare rights fail their promises — evidence from China's pension system, 2015–2024.

CHINA • RURAL BASIC PENSION

¥143 per month
≈ US\$20

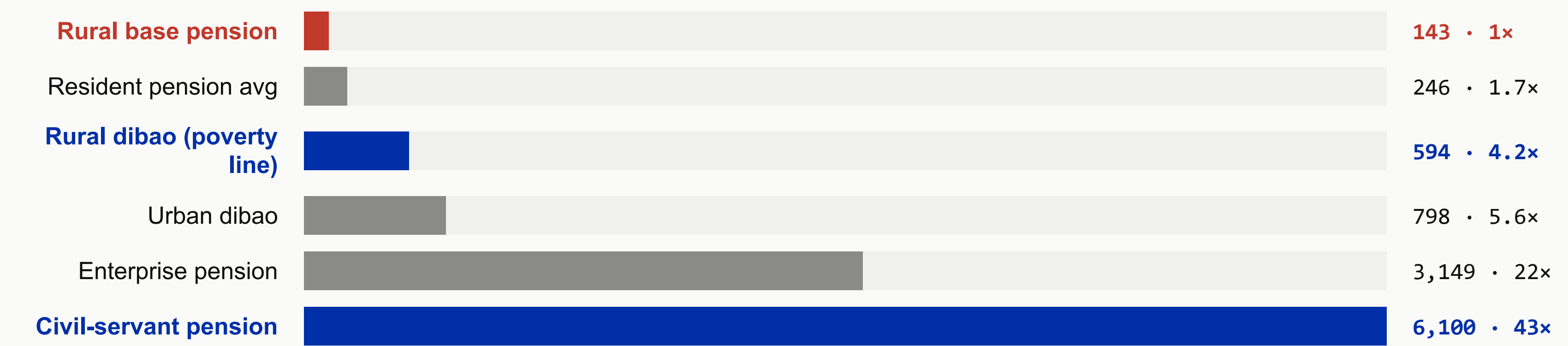
A whole month of pension buys you about **five cups of coffee.**

One city pays ten times the floor. Everyone else clusters at the bottom.



The average *lies*: a handful of rich cities pull it up to ¥223, while the median province sits right at the ¥143 floor. [Regional variation is not an accident — it is built into the design.](#)

The base pension is below the state's own poverty line.



The state itself says you need ¥594 just to get by — but the base pension is only ¥143, *less than a quarter* of its own floor. A retired civil servant receives **forty-three times more**.

2024 AUDIT FINDINGS

¥40.6_{bn}

quietly moved out of the resident pension fund across **13 provinces** — spent on salaries, operations and debt.

That equals the full yearly base pension of about [24 million rural pensioners](#).

"JUST LEAN ON YOUR CHILDREN"?

600M

people — about **40% of the population** — earn roughly ¥10,000 a year. For most, one serious illness already means ruin.

Pensions and health subsidies share **one fiscal base**: local government money.

When the local budget breaks, both are squeezed at once. It is not one program failing — it is the whole local welfare base eroding together.

Law $\neq$ reality.

We tend to treat the written law as if it were delivery on the ground. For rich democracies — strong courts, steady budgets — the two move together. **My argument is that this assumption breaks down, and not at random.**

ESPING-ANDERSEN · 1990

Sorts welfare regimes by reading the statute — coverage rules, replacement rates, who qualifies on paper.

PIERSON · 1994

Measures cuts the same way. If the law did not change, then — for him — no cut has happened.

ONE MOTIVE

Writing the right buys legitimacy. Enforcing it *ties the state's hands*.

A written right makes the state look modern, caring, bound by law. But enforcement turns a flexible promise into a fixed obligation. So the promise is kept vague **on purpose** — vague promises preserve discretion, and discretion is power.

The gap between law and delivery is not a flaw in the system. For the state, it is the point.

STRUCTURE THAT HOLDS THE GAP OPEN

01

Reach

The centre writes a law in the capital but cannot enforce it everywhere itself. It relies on local agents it cannot fully watch — the limit of *infrastructural power* (Mann). The emperor's power stopped at the county line.

02

Difference

Regions are wildly unequal. A single national standard is too heavy for poor provinces, too small for rich ones. So the centre sets only a floor and lets each locality decide the real number — Shanghai ¥1,490, most stuck at ¥143.

03

Money

The right is written centrally; funding sits locally. Nothing forces the centre to cover a shortfall. The law sets a *ceiling, not a floor* — and when local money disappears, the right quietly disappears with it.

THE "SLASH LINE" CAMPAIGN · 斩杀线

"China will not let anyone be *slashed*."

State media — Beijing Daily, Southern Daily, then the Party journal *Qiushi* — turned one phrase into official language: China has the Social Insurance Law, it has Article 45 of the constitution.

Notice the move: the law exists, and **just by existing**, it does all the work. No delivery required.

THE SAME YEAR

Welfare was cut — *invisibly*.

¥40.6 billion moved out of the pension fund across 13 provinces. The central law set the right; local governments quietly moved the money. **No statute changed while they did it.**

So by Pierson's method, *nothing happened*. The law still looks untouched. That is the heart of it — the cut is invisible if all you read is the law.

THE CAUSAL CHAIN • 1994 → 2024

1994 Tax reform Centre takes the larger share of revenue; localities keep the larger share of spending duties. A gap opens.	~20 yrs Land finance Localities fill the gap by selling land. At its peak, land revenue was close to 30% of all government revenue.	2021→ The crash Property turns. The cash localities leaned on for twenty years drains away — down 44% from peak.	2024 The raid To protect the "three guarantees," they reach into the one large pot still under their control — the pension fund.
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The three conditions were always there. Aging and the land crash did not create them — [the shock just pulled back the curtain](#). Aging is not a condition; it is the trigger.

"Three guarantees" (三保): basic salaries, basic operations, basic livelihoods.

Land revenue is down 44% from its 2021 peak.



-44%

cumulative fall 2021→2024. Its share of fiscal revenue fell from ~30% to 17.3%. The base that funded local welfare simply drained away.

Four regime types. The same conditions, different mixes.

INDIA · CONDITION 1

Non-enforceable rights

The constitution promises livelihood and social support — then Article 37 says those promises *cannot be enforced by any court*. The motive is written straight into the text.

BRAZIL · CONDITION 3

Municipal delivery

The 1988 constitution lists social rights in great detail — but the benefit depends on what each city can pay. One outcome in São Paulo, another in rural Maranhão.

SOUTH AFRICA · CONDITION 2

"Reasonable measures"

Housing and healthcare are guaranteed — but *Grootboom* (2000) required only "reasonable steps within available resources." And the state decides what counts as reasonable.

A party-state, a federal democracy, a younger democracy, a post-apartheid democracy. [This is not China being strange. It is a design pattern, and it travels.](#)

Measure what states *do*, not just what they write.

CLASSIFICATION

Reading the rules on paper **overstates** protection. On paper, China, India, Brazil and South Africa look close to rich democracies. On the ground, they are not.

RETRENCHMENT

Pierson only sees a cut when a law changes. But **invisible retrenchment is still retrenchment**. What we measure cannot be the legal text alone.

"China will not let anyone be slashed" — only while the local government can still afford it.

Once the money runs out, a written right cannot enforce itself. **That is the legalization trap.**

01

A law can hand a state legitimacy without ever requiring it to deliver.

02

Welfare can be cut without touching a single statute.

03

Measure both the law and the machinery meant to make it real.

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Q&A

Feel free to discuss any of your thoughts!

Thank you
for listening.